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இலங்கை மத்திய வங்கி
CENTRAL BANK OF SRI LANKA

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*Monetary Policy Review: No. 04 – July 2025*

# The Central Bank of Sri Lanka keeps the Overnight Policy Rate (OPR) unchanged

The Monetary Policy Board decided to maintain the Overnight Policy Rate (OPR) at the current level of 7.75% at its meeting held yesterday. The Board arrived at this decision after carefully considering both domestic and global developments. The Board is of the view that the current monetary policy stance will help steer inflation towards the target of 5% in the period ahead while supporting growth.

The movements in the Colombo Consumer Price Index (CCPI) reflected a further easing of deflationary conditions as anticipated. Inflation is projected to turn positive this quarter and steadily increase towards the target of 5% thereafter. Core inflation will continue to gradually accelerate in the coming months, reflecting the steady recovery in the economy's demand conditions.

The economy recorded a firm growth of 4.8% in Q1-2025. Leading economic indicators suggest this growth momentum will continue in the near term. Monetary conditions continued to ease, supporting the rebound in domestic economic activity. Most market interest rates have declined further in response to the recent policy rate reduction. The expansion of credit to the private sector has remained robust and broad-based so far in 2025. This private sector credit expansion is expected to continue.

The external sector continued to be resilient amidst a widening trade deficit. Inflows from tourism earnings and workers' remittances improved further. Gross official reserves were maintained at healthy levels amidst debt service payments. Reserve buildup efforts continue with regular net foreign exchange purchases by the Central Bank. The fifth tranche of the IMF-EFF was received in early July 2025.

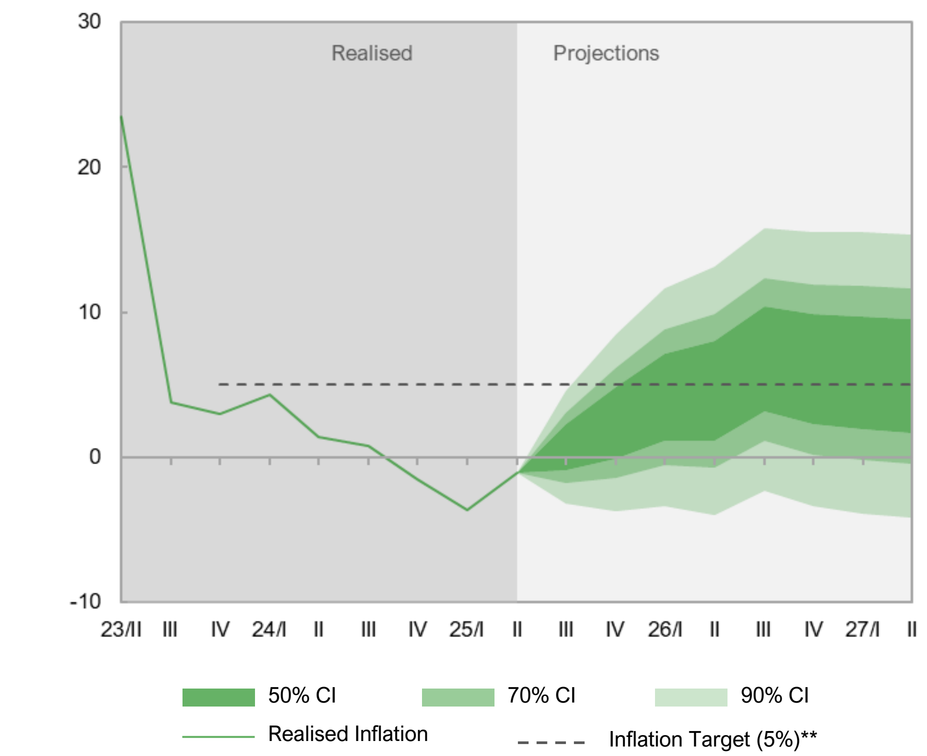
Globally, policy uncertainty has intensified due to the evolving trade landscape and recurring geopolitical conflicts. The Board will carefully monitor any realisation of the global uncertainties and assess incoming data on domestic developments. The Board is prepared to take appropriate policy measures to ensure that inflation stabilises around the target, while supporting the economy to reach its potential.

The release of the next regular statement on the monetary policy review will be on 24 September 2025.

*Note: The biannual Monetary Policy Report, the second of such reports for 2025, will be published on 15 August 2025.*

## Annexure 01:

**Headline Inflation Projections* (Quarterly, CCPI, Y-o-Y, %)**
Based on the Projections during the July 2025 Monetary Policy Round




*** The inflation target (5%) was agreed under the Monetary Policy Framework Agreement (MPFA) signed between the Central Bank and the Minister of Finance in October 2023.*

* Realised data in the fan chart are based on the CCPI (2021=100, seasonally adjusted). Projections are based on all available data at the forecast round in July 2025.

Note: The fan chart illustrates the uncertainty surrounding the baseline projection path using confidence bands of gradually fading colours. The confidence intervals (CI) shown on the chart indicate the ranges of values within which inflation may fluctuate over the medium term. For example, the thick green shaded area represents the 50% confidence interval, implying that there is a 50% probability that the actual inflation outcome will be within this interval. The confidence bands show the increasing uncertainty in forecasting inflation over a longer horizon.

***Note:* A forecast is neither a promise nor a commitment.**

The projections reflect the available data, assumptions, and judgements made at the forecast round in July 2025. They are conditional on the forecasts of global energy and food prices, the expected growth path of Sri Lanka's major trading partners, the anticipated fiscal path of the Government, and global financial conditions implied by the Fed Funds rate. Further, the projections are conditional on the model-consistent interest rate path and the resulting macroeconomic responses. Any notable changes in these assumptions could lead to the realised inflation path deviating from the projected path.

There are upside risks to the realisation of inflation projections stemming from factors such as possible increases in global commodity prices amidst geopolitical tensions and supply disruptions, possible depreciation of the Sri Lanka rupee at higher levels, the possibility of higher-than-anticipated demand pressures amidst strong credit growth, and possible adverse weather conditions affecting agricultural production. Meanwhile, downside risks to the realisation of inflation projections include possible further reductions in food prices in the near term amidst a healthy harvest, and a possible persistent slowdown in global demand leading to a more-than-anticipated reduction in global energy and food prices.

**Data Annexure** is accessible at https://www.cbsl.gov.lk/sites/default/files/cbslweb_documents/mpr04_2025_e.pdf